

CHOOSE YOUR CAP

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One of the longest running investment debates is about the pros and cons of investing in small stocks versus the large. Should you pay a premium for a stock with a large market capitalisation or should you go for cheap small-cap stocks?

Logic can be marshalled on both sides of the fence. The argument in favour of investing in small-caps is simple. A small business can grow quicker because of the smaller base and therefore, returns are higher. As businesses grow larger, their growth rate could slow down.

A classic example is Infosys. The software biggie doubled its turnover and profits every year for the first eight years after listing in 1993. In 2006-7, it achieved Rs 13,149 crore turnover and although its revenues rose by Rs 4,121 crore, the growth rate was 45%—impressive but slower than in the past.

So growth prospects are in favour of small stocks. But the arguments in favour of a big-stock focus also deserve to be heard. A big business is less vulnerable to crisis like the loss of a big client. It has a proven track record (otherwise it would not have become big) and due to institutional interest, corporate governance is likely to be better. Institutional holding also lends support to the price of large-cap stocks—institutions don't sell stocks in a hurry.

In an attempt to resolve the argument, Smart Money undertook an in-depth comparison of the BSE Sensex to the BSE mid-cap and small-cap indices over the past two years. Our conclusion: The market returns of the past two years show that there is no clear answer in favour of either school. But select small and mid-caps can deliver

WHY ARE THEY HOT

Large-caps expected to grow 16-18% this year, small-caps at 30% and mid-caps at 20-25%.

Many small- and mid-cap stocks are trading at lower P/E multiples than large-cap stocks.

Nine out of 25 new equity funds offered this year focus on small- and mid-cap stocks.

Institutional investors, FIs and private equity funds are picking up small- and mid-cap stocks.

Small- and mid-sized companies are today better researched than ever before.

